THE NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH, COURT-I, CHANDIGARH

CA (CAA) No. 45/Chd/Hry/2024
(1st Motion)

Under Section 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF SCHEME OF ARRANGEMENT OF:

1. **RMT Holdings Limited**
with its registered office at
Unit IH-00-01-02-OF-01, Level 2,
IH-00-01-CP-05, Dubai International
Financial Centre, United Arab Emirates
Registration No. 9004
Email- monika@alliednippon.com
Mob: 9711001460

…..Transferor Company No.1/ Non-Applicant Company

And

2. **Talwar Impex Private Limited**
with its registered office at
Village Lohar Nangal, 66 Foot Road,
Urban estate phase-II, Jalandhar, Punjab,
India, 144001 Vill. Tangori, Mohali, Punjab 140601
PAN: AAACT8384P
Email- monika@alliednippon.com
Mob: 9711001460

….Transferor Company No.2 / Applicant Company No.1

And

3. **Allied Intertrade Company Limited**
with its registered office at
Curo High Street Complex Village Lohar
Nangal, 66 Foot Road Urban Estate
Phase-II, Jalandhar-I, Punjab, India, 144001
PAN: AAACA1847L
CIN: U74899PB1989PLC047471
Email- monika@alliednippon.com

…Transferee Company/ Applicant Company No.2

Order delivered on: 20.03.2025

Coram: HON'BLE MR HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE MR ASHISH VERMA, MEMBER (TECHNICAL)

Present:
For the Applicant Companies : Mr. Dhritiman Bhattacharyya, Advocate
Ms. Deeti Ojha, Advocate

Per: Ashish Verma, Member (Technical)

ORDER

This is a joint First Motion Application filed by Applicant Companies namely; **RMT Holdings Limited** (for short hereinafter referred to as Non-Applicant Company/Transferor Company No.1); **Talwar Impex Private Limited** (for short hereinafter referred to as Applicant Company No. 1/Transferor Company No.2); **and Allied Intertrade Company Limited** (for short hereinafter referred to as Applicant Company No. 2/ Transferee Company) under Sections 230 to 232 and 234 of the Companies Act, 2013 (hereinafter refereed as the **Act**) and Rules 3,5 and 25A of the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016 (**Rules**) in relation to the Scheme of Amalgamation (hereinafter referred as **Scheme**) between the Applicant Companies. The said Scheme is attached as Annexure A of the Application.

2. The Applicant Companies have prayed for dispensing with the meetings of the Equity Shareholders of both the Applicant Companies; preference shareholders of the Applicant Company No.2/Transferee Company; Unsecured Creditors of Applicant Companies and Secured Creditors of both the Applicant Companies.

3. The Transferor Company No.1 is primarily an investment holding company and holds shares in group companies incorporated in India (including subsidiaries in India). Transferor Company No.1 is a holding company of Transferor Company 2 and the Transferee Company and directly holds 93.33% of Transferor Company 2 and

66.47% of Transferee Company. The main objects of the Transferor Company No.1 as set out in its charter documents are as follows;

"4 COMPANY OBJECTIVES

The principal business activities of the Company are to:

(i) carry on business in pursuit of the activities described under the Commercial License issued to the Company under the Law and Regulations;

(ii) do all other things that are, in the opinion of the Directors to be incidental or conducive to such activities; and

(iii) engage in any lawful activity;

in accordance with the Law, Regulations and any other DIFC laws or laws applicable in the DIFC. The copy of the charter documents of the Transferor Company 1 is annexed as Annexure C2.

3.1 The share capital of Transferor Company No.1 as on 30.09.2024, is as follows;

PARTICULARS	AMOUNT (AED)
Authorized Capital	
25,26,17,795 ordinary shares of nominal value – AED 0.10	2,62,02,950
TOTAL	**2,62,02,950**
Issued, Subscribed and paid-up capital	
25,26,17,795 ordinary shares of nominal value – AED 0.10	2,62,02,950
TOTAL	**2,62,02,950**

3.2 Subsequent to 30.09.2024, and as on the date of approval of the Scheme by the Board of Directors of Transferor Company 1, there is no change in the authorized and issued share capital of Transferor Company No.1.

3.3 The Transferor Company No.2 is primarily engaged in trading business. Further, Transferor Company No.2 holds investments in group companies. The main objects of the Transferor Company 2 as set out in Memorandum and Articles of Association, which is annexed as Annexure D2.The share capital of the Transferor Company No.2 consist of equity shareholders and the shareholding pattern as on 30.09.2024, is as under:

PARTICULARS	AMOUNT (INR)
Authorized Capital	
7,50,000 Equity shares of Rs. 10/- each	75,00,000
TOTAL	**75,00,000**
Issued, Subscribed and paid-up capital	
75,00,000 Equity shares of Rs.10 each	75,00,000
TOTAL	**75,00,000**

3.4 Subsequent to 30.09.2024, and as on the date of approval of the Scheme by the Board of Directors of the Transferor Company No.2, there is no change in the Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferor Company No.2.

4. The Transferee Company is engaged in the business of providing management consultancy and business support services and holds investments in various group

companies. The main objects of the Transferee Company as set out in Memorandum and Articles of Association is annexed as Annexure-E2.

4.1 The Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferee Company i.e. Allied Intertrade Company Limited, as on September 30, 2024, is as under;

PARTICULARS	AMOUNT (INR)
Authorized Capital	
53,90,380 Equity shares of Rs. 10/- each 5,29,820 Preference Shares of Rs.100/- each	5,39,03,800 5,29,82,000
TOTAL	**10,68,85,800**
Issued, Subscribed and paid-up capital	
16,54,800 Equity shares of Rs. 10/- each 1,65,000 Preference Shares of Rs.100/- each	1,65,48,000 1,65,00,000
TOTAL	**3,30,48,000**

4.2 Subsequent to September 30, 2024, and as on the date of approval of the Scheme by the Board of Directors of the Transferee Company, there is no change in the Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferee Company.

5. It is submitted that the registered offices of the Applicant Company No.1 and 2 are situated in the State of Punjab , and hence are under the territorial jurisdiction of this Bench.

6. The rationale and Salient features of the Scheme is given as below:

6.1 The present Scheme provides for amalgamation of both the Transferor Companies into the Transferee Company w.e.f. the Appointed Date i.e. April 01, 2024. The purpose and rationale of the Scheme is as under:

- Ensure a simplified and streamlined group structure by reducing the number of group entities (including overseas entity) in the group structure resulting in more efficient & transparent structure compliant to local regulatory requirements; o
- Eliminating duplicative communication and coordination efforts across multiple entities and countries resulting in effective communication and co-ordination across stakeholders; and
- Reduction in the multiplicity of legal and regulatory compliances required at present to be carried out by the Transferor Companies and the Transferee Company. Further, the consolidation will also lead to reduction in operational and compliance cost.

7. It is submitted that the Transferor Company No.1 shall be making necessary filings with respect to the Scheme with the jurisdictional authority in Dubai International Financial Centre, UAE. This process has been set out at Part II of the Scheme. It is further submitted that in terms of Clause 7 of Part-II of the Scheme, the effectiveness of the Scheme is subject to inter- alia, the requisite approval by the Registrar of Companies in UAE.

8. The Applicant Companies declares that the Transferor Company No.1 is incorporated in UAE, a country that does not share land border with India and hence, the declaration under Rule 25-A(4) of the Rules is not required in the present case. Further, the

provisions of Press Note No. 3 (2020 Series) dated 17th April, 2020 issued by Government of India (Ministry of Commerce and Industry, Department for Promotion of Industry and Internal Trade, FDI Policy Section) are not attracted in the facts of the present case.

9. It is stated that The Board of Directors of the Transferor Company No.1&2 and the Transferee Company, in their respective meetings held on 14.11.2024, considered and unanimously approved the proposed Composite Scheme of Amalgamation subject to sanctioning of the same by this Tribunal. The copies of the Board Resolutions of the Transferor Companies No. 1 marked as Annexure-C5, Transferor Company No.2 is marked as Annexure-D6 and for the Transferee Company, marked as Annexure-E6.

10. The Appointed date of the Scheme is 01.04.2024 as mentioned in Clause 2.4 of Part-I of Scheme, which is attached as Annexure-A of the application.

11. It is stated that the Transferor Company No. 1, Transferor Company No. 2 and Transferee Company have filed their Audited Financial Statements as on 31.03.2024 which are attached as Annexure-C3, Annexure-D3 and Annexure-E3 respectively of the Application. The Transferor Company No. 1& 2, and Transferee Company have also filed their Un-audited Financial Statements as on 30.09.2024 which are attached as Annexure A-C4, Annexure-D4 and Annexure-E4, respectively of the Application.

12. It is submitted that the Scheme does not provide for any corporate debt restructuring under section 230(2)(c) of the Act, of either of the Applicant Companies.

13. It is further submitted that in pursuance of the proviso to Section 230(7) & Section 232(3) of the Act, Transferor Company No.2 &Transferee Company has filed certificates dated 13.11.2024 issued by their respective Statutory Auditors certifying that the

Scheme is in compliance with the Accounting Standards under Section 133 of the Act and the same are attached as Annexure-G&H respectively. The Transferee Company has filed a Certificate dated 22.11.2024, issued by the Directors of the Transferee Company in terms of regulation 9(2) of the Cross Border Regulations, ensuring compliance to the Cross Border Regulations, which is marked as Annexure-F with the application.

14. It is further submitted by the counsel for the Applicant Companies that as per Valuation Report/Fair Exchange Ratio report dated 11.11.2024, submitted by ValuGenius Advisors LLP, Registered Valuer entity bearing registration no. IBBI/RV-E/07/2023/197 is attached as Annexure-B of the application. The opinion on Fair Exchange Ratio is as below;

Particulars	Value of Undertaking (in **INR**)	No. of shares	Value Per share (**INR**)	Share Exchange ratio
RMT Holdings Limited(Transferror Company No. 1)	2,86,48,36,157	25,26,17,795	11.34	0.00886
Allied Intertrade Company Limited (Transferee Company)	2,11,65,55,674	16,54,800	1,279	
Talwar Impex Pvt. Limited (Transferor Company No.2)	61,59,63,799	7,50,000	821	0.6419

15. It is submitted by the learned counsel that the Scheme (Annexure-A) also takes care of the interest of the staff/workers and employees of the Applicant, by virtue of Part IV-Clause 18.1 of the Scheme.

16. It is submitted by the Applicant Companies that there are no material investigations or legal proceedings pending against any of the Applicant Companies under Section 210 to 227 of the Companies Act, 2013 and Section 235 to 251 of the Companies Act, 1956 or any other applicable law. Moreover, there are no proceedings pending under the Companies Act, 2013 before the jurisdictional Adjudicating Authority.

17. It is deposed by the Authorized Signatory of Applicant companies by way of affidavit that the Applicant Companies are not governed by any sectoral regulators. It is submitted that, no clearance of Competition Commission of India is required for the Scheme and the Applicant Companies are not registered as a NBFC with reserve bank of India. Further, the authorized signatory of Applicant Companies also submitted the affidavit regarding compliance of Foreign Exchange Management (Cross Border Merger) Regulations, 2018. It is also submitted that, the sub-rule 25A (5) of the Companies (Compromise, arrangements and Amalgamation) Rules, 2016 is not applicable to the Scheme as none of the applicant companies are wholly owned subsidiaries of Non-Applicant Company/Transferor Company No.1. The aforesaid affidavits are attached with the application.

18. The Applicant Companies have furnished the following documents:

19. Proposed Scheme of Arrangement (Annexure-A of the application).

20. Copy Memorandum and Articles of Association of the Transferor Company No.2 and Transferee Company (Annexure-D2, E2) respectively of the application).

. List of Equity Shareholders of the Transferor Company No.2 and Transferee Company as on 30.09.2024 along with consent furnished by way of affidavits (Annexure- D7, D8, E7, and E8) respectively of the application.

i. List of Secured Creditors of the Transferor Company No.2 and Transferee Company as on 30.09.2024 duly certified by Rupal K. Jain, FCA and R.N. Marwah & Co. LLP, Chartered Accountant, respectively with Annexure-D11,E13 respectively of the application).

ii. List of Unsecured Creditors of the Transferor Company No.2 and Transferee Company as on 30.09.2024 duly certified by Rupal K. Jain, FCA and R.N. Marwah & Co. LLP, Chartered Accountants respectively with Annexures- D9 and E11 respectively of the application.

iii. Certificates of Statutory Auditors of Transferor Company no.2 and Transferee Company to the effect that the Accounting treatment proposed in the Scheme is in conformity with Section 133 of the Companies Act, 2013 (Annexure-G and H respectively) of the application.

iv. Audited Financial Statements as on 31.03.2024 of the Transferor Companies No. 1&2 and of Transferee Company are attached as Annexures- C3, D3 and E3 respectively of the application.

v. Un-audited Financial Statements (provisional) as on 30.09.2024 of the Transferor Company No.2 and Transferee Company attached as Annexures- D4 and E4 respectively of the application.

vi. Report on Valuation of Shares & Share Entitlement Ratio (Annexure-B) of the application.

21. The Applicant Companies have furnished the details of the Equity Shareholders, Secured Creditors and Unsecured Creditors as follows:

Name of the Applicant Companies	Shareholders along with their consent on affidavit			Creditors along with their consents on affidavit						
	Equity Shareholders	Consents With calculations	Preference Shareholders	Consents With calculations	Debenture Holders	Consent with calculations	Secured Creditors	Consents with calculation	Unsecured Creditors	Consents with calculations
Applicant Company No.1/Transferor Company No.2	4	100%	NA	NA	NA	NA	Nil	NA	1	100%
Applicant Company No.2/Transferee Company	8	100%	1	100%	NA	NA	Nil	NA	12	100%

22. In compliance with the order dated 03.01.2025, an affidavit with respect to a note on maintainability has been filed vide Diary No.03967/1 dated 14.01.2025. It is submitted that, Part 8 of the DIFC law inter alia deals with mergers of private companies and the same is reproduced in the Charter documents of the Transferor Company No.1. It is further mentioned that, the merger process in DIFC is procedural and summary in nature, hence, the Transferor Company No.1 will be filing the certified copy of the order passed under section 232(3) with DIFC.

23. Accordingly, the directions of this Bench in the present case are as under:

I. **In relation to Applicant Company No.1/Transferor Company No.2**:

a) The meeting of the Equity Shareholders is dispensed with, keeping in view the shareholding and ownership pattern of the company and the fact that the consent by way of affidavits have been received from all the shareholders;

b) Since, there is no Preference Shareholders in the Transferor Company No.2/Applicant Company No.1, therefore, there is no scope for any meeting;

c) Since, there is no Debenture Holders in the Transferor Company No.2/Applicant Company No.1, therefore, there is no scope for any meeting;

d) Since, there is no Secured Creditor in the Transferor CompanyNo.2/Applicant Company No.1, therefore, there is no scope for any meeting;

e) The meeting of the Unsecured Creditors is dispensed with, keeping in view the shareholding and ownership pattern of the company and the fact that the consent by way of affidavits have been received from all the creditors;

II. **In relation to Applicant Company No.2/Transferee Company/**

a) The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding and ownership pattern of the company and the fact that the consent by way of affidavits have been received from all the shareholders;

b) The meeting of the Preference Shareholders is dispensed with keeping in view the shareholding and ownership pattern of the company and the fact

that the consent by way of affidavits have been received from all the shareholders;

c) Since, there is no Debenture Holders in the Applicant Company No.2/Transferee Company, therefore, there is no scope for any meeting;

d) Since, there is no Secured Creditor in the Applicant Company No.2/Transferee Company, therefore, there is no scope for any meeting;

e) The meeting of the Unsecured Creditors is dispensed with keeping in view the shareholding and ownership pattern of the company and the fact that the consent by way of affidavits have been received from all the shareholders.

24. In view of the above, the First Motion Application stands allowed by giving liberty to the Applicant Companies to file Second Motion Petition with a direction that the Applicant Companies shall make specific prayer for sending notices to the (a) Central Government through Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi, (b) concerned Registrar of Companies, (c) the Official Liquidator and (d) Income Tax Authorities by disclosing the PAN numbers of all the Applicant Companies in the title of the Second Motion Petition. The applicant companies shall also file separate affidavits stating the sectoral regulators governing the respective companies while filing second motion petition.

Sd/-
(Ashish Verma)
Member (Technical)

Sd/-
(Harnam Singh Thakur)
Member (Judicial)

March 20, 2025
Jashan